



Question 1

Inflation

What is the difference between deflation and disinflation?

Disinflation is _____, and deflation is _____.

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a falling prices; rapidly falling prices

b falling inflation; a fall in the price level

c falling prices; falling inflation

d negative prices; falling prices

Correct Answer:

✓ **b** - falling inflation; a fall in the price level



Question 2

Inflation

Which of the following groups win from inflation?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a Pensioners whose incomes are fixed in nominal terms

b Lenders with nominal assets

c Borrowers with nominal debt

d Households with savings

Correct Answer:

✓ **c** - Borrowers with nominal debt

Question 3

Inflation

Why do many economists believe low and stable inflation is a good thing?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|--|
| a | Real incomes may rise |
| b | This preserves purchasing power and reduces price and cost uncertainty |
| c | Monetary policy will be less active |
| d | The real interest rate should fall |

Correct Answer:

✓ b - This preserves purchasing power and reduces price and cost uncertainty



Question 4

What is wrong with deflation?

☐ A

Nothing. It means lower prices

☐ B

Households will take advantage by increasing their consumption

☒ C

It can further weaken aggregate demand through postponed consumption



☐ D

Real wages will fall

?

Question 5

The Phillips curve

What is the Phillips curve relationship?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|--|
| a | Incomes rise and unemployment falls |
| b | Rising inflation leads to higher unemployment |
| c | Lower unemployment is associated with higher inflation |
| d | Higher inflation leads to lower incomes |

Correct Answer:

✓ c - Lower unemployment is associated with higher inflation



Question 6

Re

The Central Bank conducts monetary policy through the Monetary Policy Committee's remit. The main objective of the remit is to:

?



A

maintain a balanced fiscal budget



B

maintain future annual inflation between 1 and 3 percent over the medium term



C

maintain prescribed inflation and unemployment targets (dual mandate)



D

maintain a stable general real wage level



Question 7

Changes to the Official Cash Rate are transmitted to the economy principally through which mechanism?



A

foreign exchange rates affecting net exports



B

the broader money supply



C

capital reserves held at the trading banks



D

the interest rates financial institutions charge for loans



?

Question 8

Monetary policy

The interest rate affects aggregate demand directly through which component(s)?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|----------------------------|
| a | Consumption |
| b | Government spending |
| c | Investment |
| d | Investment and Consumption |

Correct Answer:

✓ d - Investment and Consumption

Question 9

Monetary policy

To boost the economy in an economic downturn, an appropriate monetary policy is to:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|----------|------------------------------|
| a | Increase government spending |
| b | Reduce taxes |
| c | Lower the official cash rate |
| d | Reduce immigration |

Correct Answer:

✓ **c** - Lower the official cash rate

Question 10

Monetary policy

Why might a central bank want to counteract a boom phase of the business cycle?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- a** To improve popularity with the Government
- b** To balance unemployment with inflation
- c** Boom phases lead to inflationary pressures
- d** To avoid the inevitable downturn that follows a boom phase

Correct Answer:

✓ **c** - Boom phases lead to inflationary pressures



Question 11

Monetary policy and the exchange rate

An appreciation of the NZ dollar leads to:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|--|
| a | Less demand for New Zealand export goods |
| b | Imported goods becoming more affordable |
| c | Generally, lower aggregate demand (AD) in NZ |
| d | All of the above |

Correct Answer:

✓ d - All of the above



Question 12

The data above is for Ecuador and has been taken from the World Bank's World Development Indicator database. Ecuador has experienced _____ between 2015 and 2017.

Year	2015	2016	2017	2018	2019	2020
Inflation rate (%)	4.0	1.7	0.4	-0.2	0.3	-0.3

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a economic growth

b inflation

c disinflation

d deflation

Correct Answer:

✓ c - disinflation

Question 13

The data above is for Ecuador and has been taken from the World Bank's World Development Indicator database.
What happened to prices in 2018?

Year	2015	2016	2017	2018	2019	2020
Inflation rate (%)	4.0	1.7	0.4	-0.2	0.3	-0.3

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- a** There was disinflation.
- b** There was negative economic growth.
- c** There was inflation.
- d** There was deflation.

Correct Answer:

✓ **d** - There was deflation.



Question 14

The data above is for Ecuador and has been taken from the World Bank's World Development Indicator database.
The general level of prices in Ecuador between 2017 and 2020 has _____.

Year	2015	2016	2017	2018	2019	2020
Inflation rate (%)	4.0	1.7	0.4	-0.2	0.3	-0.3

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a increased by 0.198 percent

b increased by 0.2 percent

c decreased by 0.2 percent

d decreased by 0.198 percent

Correct Answers:

✓ **a** - increased by 0.198 percent

✓ **b** - increased by 0.2 percent



Question 15

Consider an increase in the policy rate (what we know in New Zealand as the Official Cash Rate (OCR)). Let's think about how this change affects aggregate demand.

How does a higher policy rate affect investment?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a

Investment falls

b

Investment increases

c

Investment does not change

d

We can't say without more information

Correct Answer:

✓ **a** - Investment falls



Question 16

Consider an increase in the policy rate (what we know in New Zealand as the Official Cash Rate (OCR)). Let's think about how this change affects aggregate demand.

How does a higher policy rate affect consumption?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|---------------------------------------|
| a | Consumption falls |
| b | Consumption increases |
| c | We can't say without more information |
| d | Consumption does not change |

Correct Answer:

✓ a - Consumption falls

Question 17

Consider an increase in the policy rate (what we know in New Zealand as the Official Cash Rate (OCR)). Let's think about how this change affects aggregate demand.

How does a higher policy rate affect net exports?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|----------|--|
| a | Net exports will fall. |
| b | Net exports will not change. |
| c | We can't say without more information. |
| d | Net exports will increase. |

Correct Answer:

✓ **a** - Net exports will fall.



Question 18

Consider an increase in the policy rate (what we know in New Zealand as the Official Cash Rate (OCR)). Let's think about how this change affects aggregate demand.

We've considered how policy rates affect investment, consumption and net exports. Taken as a whole, the impact of a higher policy rate on aggregate demand is:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|---------------------------------------|
| a | Aggregate demand rises |
| b | Aggregate demand falls |
| c | Aggregate demand does not change |
| d | We can't say without more information |

Correct Answer:

✓ b - Aggregate demand falls